

Helaba's \$112M Loan Shows Construction Debt Is Back, but Only for the Right Sponsor

A German bank funds a Dallas multifamily project at a former JCPenney HQ, signaling narrow liquidity for top-tier developers.

The most important number in Helaba's \$111.5 million construction loan for a Dallas-area apartment project is not the loan amount. It is the lender. A German commercial bank is writing a construction check in 2026 for a 22-story luxury rental tower that will not deliver until March 2029.

That is a three-year construction timeline in a market where construction financing has been one of the tightest pockets of the capital stack since mid-2022. Helaba is not making a broad bet on Texas multifamily. It is making a narrow bet on this sponsor, this basis, and this location. The borrower is a joint venture between StreetLights Residential and Pritzker Realty Group.

StreetLights has a track record of developing multifamily across Texas and other major U.S. markets. Pritzker Realty Group brings institutional credibility and balance sheet depth. Together, they represent the kind of sponsorship that can still access construction debt when most developers cannot. The project is called StreetLights at the Park at Legacy. It will rise on a 2.74-acre site at 6501 Legacy Drive in Plano, 22 miles north of downtown Dallas.

The land was the headquarters of JCPenney until late 2020, when the retailer vacated. The site is being repurposed for 264 units, including 161 apartments with one- to three-bedroom layouts plus three townhouses. Completion is scheduled for March 2029. Helaba's decision to lend reveals several things about the current state of construction debt. First, construction financing has not returned broadly.

It has returned selectively, and only for sponsors who can demonstrate institutional execution. Jason Deck, Helaba's director of real estate finance, cited the sponsorship's "demonstrated track record" and "institutional approach to execution" as sources of confidence. That language is not boilerplate. It is the underwriting filter that separates the developers who get capital from those who do not. Second, the three-year construction timeline matters.

Most construction lenders have shortened their forward commitments because of cost overrun risk, rate uncertainty, and demand volatility. Helaba is willing to underwrite a 2029 delivery because it trusts the sponsor to manage the timeline and the budget. That trust is the scarce resource in construction lending today. Third, the location is not accidental.

Plano has become a corporate and residential growth corridor, anchored by employers that include Toyota, JPMorgan Chase, and Frito-Lay. Helaba is lending into a demand story that has multiple layers of tenant and employer gravity. The former JCPenney headquarters is being replaced by housing for the workforce that now fills the office parks and corporate campuses around it. Who benefits from this deal? StreetLights and Pritzker get the capital to build.

Helaba gets a relationship with a top-tier sponsor and a loan secured by a well-located asset in a growing market. The broader market gets a signal that construction debt is not dead, but it is reserved for the top tier. Who is exposed? Developers without institutional sponsorship, without a proven track record, and without a location that commands premium rents. They will continue to find construction financing unavailable or prohibitively expensive.

What should the market watch next? The completion date. If StreetLights at the Park at Legacy delivers on time and on budget in 2029, it will reinforce the thesis that construction debt is available for the right execution. If it slips or costs overrun, lenders will tighten further. Construction debt is not back. It is back for the sponsors who never really lost access.

That distinction matters for every developer trying to figure out whether the capital markets have reopened.

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